

THE EIGHT-POINT PLAN



Tracking difference: Costs, cash drag and sampling can widen the gap



Rebalance/inclusion effects: Crowding around index additions (e.g., into Nifty Next 50/Nifty 50) can create slippage



Concentration & methodology: Cap-weighted Indian indices can be top-heavy by sector/stock; factor indices can be pro-cyclical



Rate/credit risk in target-maturity funds: Mark-to-market is real before maturity; size duration prudently and match maturities to goals



Liquidity and impact costs: Small/mid-cap ETFs can show wide spreads; creation/redemption may be slower in stress



Currency risk: S&P 500 FoFs are long \$/short ₹—great diversifiers, but returns can diverge from US market headlines



Premium/discount to NAV: Especially in niche or low-volume ETFs; monitor iNAV during trades



Operational hygiene: Securities lending policies, collateral quality, and index change implementation discipline matter

ing; target-maturity funds let you hold to maturity instead of timing the rates

Process > prediction: You don't need to call bottoms; you need a calendar and rules you'll follow

may look small, but compounds substantially over time.

For example, if you invest ₹10 lakh for 10 years and the fund earns 12% annually before costs, an index fund with a 0.2% expense ratio would deliver about 11.8% net returns, and the investment would grow to about ₹30.5 lakh. In an ac-

tive fund with a 2% expense ratio, it would yield about 10% net returns, and the investment would grow to ₹25.9 lakh.

KEEP IT SIMPLE

“Passive investing brings simplicity to the investment journey. It's cost-efficient, easy to understand, and

perfect for first-time investors who might be intimidated by complex fund strategies,” says Vishal Jain, CEO of Zerodha Fund House.

Instead of analysing fund managers or chasing past performance, anyone can start by picking a top 100 or top 250 index fund and begin participating in the market.